MODULE 37 · DOMAIN 3 - BUSINESS ENVIRONMENT

Risk II: respond, monitor, communicate

Response strategies for threats and opportunities, contingency and fallback plans, residual and secondary risks, monitoring, and reporting risk status.

DOMAIN III - Business Environment EXAM WEIGHT 26% MODULE 37 of 49

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A risk response is a decision taken before you need it.

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Strategies for threats

STRATEGY	WHAT IT DOES	EXAMPLE
Escalate	Pass it to the level that owns it	A regulatory change affecting the whole programme
Avoid	Remove the threat entirely	Drop a risky feature; change the approach
Transfer	Shift the impact to a third party	Insurance, a fixed-price contract, a warranty
Mitigate	Reduce probability or impact	Extra testing, a prototype, a backup supplier
Accept	Acknowledge it; act only if it occurs	Active: set aside contingency. Passive: do nothing

ON THE EXAM

Transfer moves the impact, not the risk itself. Someone else pays, usually for a price.

Strategies for opportunities

STRATEGY	WHAT IT DOES	EXAMPLE
Escalate	Pass it to the level that owns it	A benefit the wider organisation should capture
Exploit	Make sure it happens	Best people on it to secure an early bonus
Share	Partner with someone better placed	A joint venture; shared-savings clause
Enhance	Increase probability or impact	Add resources to raise the chance of finishing early
Accept	Take it if it comes	Welcome a lower price if the market falls

ON THE EXAM

Exploit mirrors avoid, share mirrors transfer, enhance mirrors mitigate.

Choosing a response

- **Proportionate**: the response should cost less than the risk it addresses.
- **Owned**: one named risk owner, with the authority to act.
- **Agreed** with stakeholders and funded, if it needs money.
- **Timely** and **realistic**: achievable in the time the risk allows.
- A $50,000 response to a risk with an EMV of $5,000 is poor value, unless a threshold demands it.

> ON THE EXAM
>
> The best response is the cheapest one that brings the risk within appetite, with an owner who can act.

Contingency plans, fallback plans and triggers

- A **contingency plan**: what to do if the risk occurs. Prepared in advance.
- A **fallback plan**: what to do if the contingency plan does not work.
- A **trigger**: the warning sign that a risk is about to occur, or has occurred.
- Trigger: supplier misses two delivery dates in a row. Contingency: switch to the backup supplier. Fallback: build in-house.

> ON THE EXAM
>
> When the trigger fires, the owner implements the contingency plan. No new analysis, no waiting.

Residual risk or secondary risk?

RESIDUAL RISK

What is left over

- Remains after a response
- Expected and accepted
- Often covered by contingency
- Monitored, not re-solved

SECONDARY RISK

A new risk the response creates

- Caused by the response itself
- Night shifts to recover time cause fatigue
- Must be identified and analysed
- Gets its own response

THE TIEBREAKER

Every response can leave residual risk and create secondary risk. Check for both.

Executing the risk management plan

- The outline asks you to **execute the risk management plan**, naming two examples.
- **Security responses**: access controls, patching, an incident response plan, rehearsed.
- **Sustainability risks**: supply chain disruption, climate impacts on sites, new environmental rules.
- Owners carry out agreed responses on time, and report progress and results.

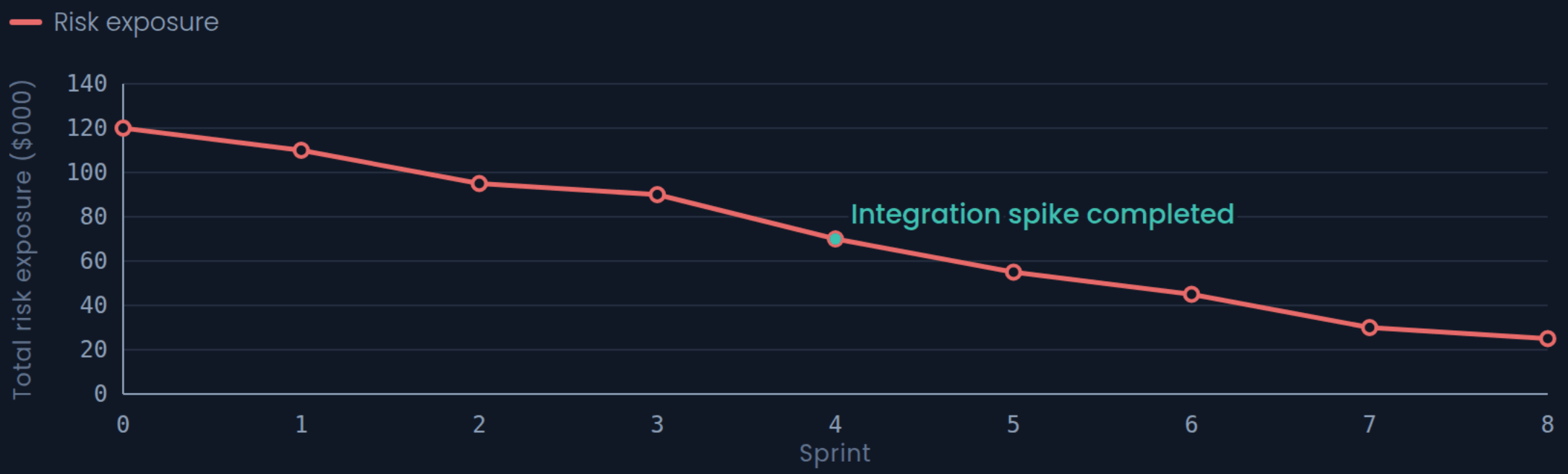
> ON THE EXAM
>
> Planned responses only help if they are carried out. Track them like any other work.

Monitoring and controlling risks

- Regular **risk reviews**: reassess existing risks, close expired ones, identify new ones.
- Watch **triggers** and check that responses are working.
- **Reserve analysis**: is enough contingency left for the risks that remain?
- **Risk audits** check that the risk process itself is being followed.
- Track overall risk exposure over time, and act on the trend.

> ON THE EXAM
>
> Risk management is continuous. A register last updated at kickoff is a history document.

A risk burndown



ON THE EXAM

A risk burndown shows total exposure falling as risky work is done early. Flat or rising means act.

Communicating risk impact status

- The outline asks you to **communicate risk impact status**.
- Share the **top risks**, their trend, and the responses in progress.
- Tailor the view: a heat map or top five for executives; the full register for the team.
- Keep the register **accessible** to those who need it, not on one person's laptop.
- Stakeholders surprised by a risk they were never told about lose trust fast.

> ON THE EXAM
>
> Risk status is communicated routinely, honestly and in a form each audience can use.

When to escalate a risk

- The risk lies **outside the project's scope**, or affects other projects.
- The response needs **authority** the project manager does not have.
- The risk crosses a **threshold** in the risk management plan.
- Escalate to the owner, such as the programme manager, and record it. They decide the response.

> ON THE EXAM
>
> Escalation is a real strategy when the risk belongs higher. It is not a way to avoid managing your own risks.

Project Lantern: responses in action

- **Transfer**: kiosk damage in transit covered by the supplier's insurance.
- **Mitigate**: a full migration rehearsal before each clinic go-live.
- **Enhance**: extra effort on the grant application, raising the chance of digital health funding.
- **Escalate**: a regional data-sharing rule change affecting all Northgate projects, passed to the portfolio board.
- Monthly risk review; top five risks and the risk burndown in every steering report.

> ON THE EXAM
>
> Threat and opportunity strategies used together, monitored monthly, reported routinely.

Scenario signals and the move

THE SCENARIO SAYS	THE MOVE
Buying insurance, or a fixed-price contract	Transfer
Make certain an opportunity happens	Exploit
The response itself creates a new risk	Secondary risk: identify, analyse, respond
The trigger has fired	The owner implements the contingency plan
The risk affects the whole programme	Escalate to the owner; record it
Stakeholders unaware of rising risk	Communicate risk status routinely, tailored

ON THE EXAM

Decide responses in advance, act on triggers, check for secondary risk, and keep people informed.

> A construction project is worried that expensive specialist equipment could be damaged on site. The project manager arranges an insurance policy that would pay for repairs or replacement.
>
> The risk register must record the response strategy.

Which risk response strategy is this?

A Avoid

B Mitigate

C Transfer

D Accept

◆ PAUSE AND DECIDE

Which risk response strategy is this?

A **Avoid**

Avoiding would remove the threat, such as not using the equipment.

B **Mitigate**

Mitigating would reduce the chance of damage, such as secure storage.

C **Transfer**

Insurance shifts the financial impact to a third party.

D **Accept**

Accepting would mean paying for damage ourselves if it happens.

THE SIGNAL

Insurance is the classic transfer. The damage can still happen; someone else pays.

> A contract offers a $200,000 bonus if a hospital wing is completed a month early. The project manager assigns the organisation's most experienced site team to the project to make sure the early date is met.
>
> The risk register must record the strategy.

Which opportunity response strategy is this?

A Exploit

B Enhance

C Share

D Accept

◆ PAUSE AND DECIDE

Which opportunity response strategy is this?

A Exploit

Acting to make sure the opportunity happens.

B Enhance

Raises the probability, without aiming to guarantee it.

C Share

Would involve a partner and splitting the benefit.

D Accept

Would take the bonus if it came, without extra effort.

THE SIGNAL

'Make sure it happens': exploit. 'Make it more likely': enhance.

> To recover a two-week delay, the project manager's approved response is to run night shifts on a construction site for a month.
>
> The site safety officer points out that tired crews working at night increase the risk of accidents.

What should the project manager do?

A Continue with the night shifts, since the response was approved.

B Cancel the night shifts and accept the delay.

C Record the accident risk as residual risk and accept it.

D Identify the accident risk as a secondary risk, analyse it, and plan a response.

◆ PAUSE AND DECIDE

What should the project manager do?

A Continue as approved.

Ignores a new safety risk the response itself created.

B Cancel and accept delay.

Premature. The new risk may be manageable.

C Call it residual; accept.

Wrong term, and safety risks are not simply accepted.

D Treat as secondary risk; analyse; respond.

A risk created by a response gets its own analysis and response.

THE SIGNAL

A risk caused by the response is a secondary risk. Analyse it and give it its own response.

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> The risk register says: if the main supplier misses two consecutive delivery dates, the risk owner switches orders to the pre-approved backup supplier.
>
> The main supplier has just missed its second delivery date in a row.

What should happen next?

A Wait to see whether a third delivery is also missed.

B The risk owner implements the contingency plan and switches to the backup supplier.

C Carry out a new risk analysis before acting.

D Escalate the delays to the sponsor.

◆ PAUSE AND DECIDE

What should happen next?

A Wait for a third miss.
Ignores the agreed trigger; the delay grows.

B Owner implements the contingency plan.
The trigger has fired. The decision was already made.

C New analysis first.
The analysis was done when the plan was made.

D Escalate.
The response is pre-approved and within the owner's authority.

THE SIGNAL

Trigger fired, contingency plan agreed: the owner acts. That is what planning ahead buys.

> While planning, a project manager learns that a proposed national regulation could require changes to every one of the organisation's customer-facing systems, across six projects.
>
> The project manager's own project could adapt, but the other five would also be affected.

What should the project manager do?

A Mitigate the risk within this project, and leave the others to manage theirs.

B Accept the risk, since the regulation is only proposed.

C Escalate the risk to the programme or portfolio owner, and record the escalation.

D Take no action until the regulation is confirmed.

◆ PAUSE AND DECIDE

What should the project manager do?

A Mitigate locally only.

Protects one project; leaves a shared risk unmanaged across five others.

B Accept.

A proposed regulation affecting six projects is significant uncertainty.

C Escalate to the owner; record it.

The risk belongs to a higher level that can respond across all six projects.

D Wait for confirmation.

Loses the chance to prepare while the rule is still proposed.

THE SIGNAL

A risk spanning many projects belongs to the programme or portfolio. Escalate, and record it.

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> A project's overall risk exposure has risen for three months. The risk register exists only as a spreadsheet on the project manager's laptop.
>
> At a steering meeting, the sponsor is surprised to hear about two high risks for the first time.

What should the project manager do?

A Email the full risk register spreadsheet to all stakeholders.

B Report risks only when they become issues.

C Brief the sponsor verbally whenever a risk becomes high.

D Make the register accessible, and report top risks, trends and responses routinely, tailored to each audience.

◆ PAUSE AND DECIDE

What should the project manager do?

A Email the whole register.
Overload; the important trend is buried in detail.

B Report only issues.
Too late by definition. Risk reporting exists to warn early.

C Verbal briefings when high.
Ad hoc, unrecorded, and only for one stakeholder.

D Accessible register; routine tailored reporting.
Communicates risk impact status, as the outline asks.

THE SIGNAL

A surprised sponsor means risk status was not communicated. Make it routine, visible and tailored.

Decide in advance. **Act on the trigger.** Check for secondary risk. Keep everyone informed.

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